

obligations (CDOs) backed by mortgages. The mortgage broker brings in the borrower and takes a commission from the bank. The bank takes a commission when it secures the mortgage; the rating agency takes a fee (estimated at \$400,000 a throw) for each security it rates (usually, of course, in return for the coveted AAA rating, without which it can't be sold). The stockbroker takes a commission when he sells the security to customers. These costs—however deeply hidden—end up being paid by some combination of the person who borrows the money to buy a home and the end-user investor who purchases the CDO for a portfolio. The multiple croupiers—all those middlemen—reap the rewards.

With the unfathomable complexity of these and other financial innovations and the endorsement—and, I would argue, the complicity—of our rating agencies, this financial legerdemain creates a modern version of alchemy. It begins with the *lead*, as it were—a package of, say, 5,000 B- or BB-rated mortgages, with maybe even a few A's thrown in. They are then miraculously turned into the *gold*, as it were, of a \$500 million CDO with (in one typical case) 75 percent of its bonds rated AAA, 12 percent rated AA, 4 percent rated A, and only 9 percent rated BBB or below. (Hint: We now know that, despite the risk-reducing character of such broad diversification, lead is still lead.)¹¹

For banks, the lure of CDOs is elementary: They like getting paid large fees for lending money, and when they can quickly get the loans off their own books and into public hands (so-called securitization), it can hardly be surprising that they aren't much concerned about the creditworthiness of those families for whose homes they have provided mortgages.

Derivatives: Dancing to the Music

As rightly newsworthy as they have been, these complex CDOs and structured investment vehicles (SIVs) (essentially money market funds that borrow short and lend long, therefore lacking the security of true money market funds) are only the bleeding edge of an